

Sustainable Energy Partnership of Southeast PA (SEP)

Operating Procedures for the Electric Supply Portfolio Program

June 2023 (version 1.)

I. Overview

- A. This document referred to as the Program Operating Procedures (POP) contains operating procedures for the SEP electric supply managed portfolio program (“program”) with the Licensed Service Provider (LSP) and Portfolio Energy Advisor (PEA).
- B. SEP consists of four County Governments (“Agencies”) surrounding the City of Philadelphia each of which has executed a Memorandum of Understanding covering cooperative purchasing of electricity. These procedures are intended to ensure efficient operation of the portfolio and cover the following general categories:
 - Overall governance
 - Roles and responsibilities;
 - Transaction authorization;
 - Transaction execution;
 - Account billing and payment responsibility;
 - Maintenance of fund balances;
 - Portfolio reporting;
 - Member exit obligations/procedures
 - Communications among parties and recordkeeping.
- C. Acronym Definitions
 - ECMPP (Electric Cost Management and Procurement Plan)
 - LDC (Local Delivery Company) – local electric utility
 - LSP (Licensed Service Provider aka Electricity Supplier).
 - MOU (Memorandum of Understanding)
 - PEA (Portfolio Energy Advisor aka Consultant)--Enel X
 - PJM (Pennsylvania Jersey Maryland)— The mid-Atlantic grid operator
 - UCAP (Unforced Capacity Obligation)

II. Program Governance

- A. The program will be overseen by the SEP Energy Board (“Board”) established through a MOU between the SEP establishing agencies (agencies).
- B. The Board will consist of two members from each agency
- C. The Board will select a Chairperson and that position will rotate each year among the agencies
- D. Each agency will have one vote and in the event of a tie, the Chairperson will cast the deciding vote
- E. The Delaware Valley Regional Planning Commission (DVRPC) will serve as the Board Coordinator
- F. The Board will hold public meetings quarterly (arranged by Board Coordinator)
- G. A Board voting quorum shall consist of all four establishing agencies
- H. Matters that require a Board majority vote approval:

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1. Selection of the Authorized Transactor
2. Excess working capital balance fund target
3. Electric supply budget billing rates
4. Member agency cost sharing allocations of program costs
5. Changes to the Electric Cost Management and Procurement Plan (ECMPP) and these Portfolio Operating Procedures (PoP)
6. Acceptance of new members
7. Selection of the agency to manage/issue solicitations for all vendor contracts including the consulting and electric supply services contracts.

III. Communications Among Parties and Recordkeeping

- A. Communications between parties may be verbal or written; however, all executed transactions must be documented in writing (electronic versions are suitable).
- B. Both PEA and LSP will maintain documentation supporting transactions and billing for review of the SEP Energy Board upon request.
- C. Minutes of the Board quarterly public meetings will be kept by the Board Coordinator

IV. Overview of Portfolio Structure

- A. The SEP electric supply managed portfolio was established to provide optimal energy price risk management flexibility, full cost transparency, lower energy costs and flexibility to procure and integrate renewable energy for the SEP agencies. The basic portfolio structure is a cost plus, block and index style of purchasing for the entire portfolio with the average cost of the portfolio billed to all SEP members.
- B. A block and index style purchasing uses fixed volumes of fixed price power to stabilize costs over time (hedges) with usage above or below fixed volumes charged or credited, respectively, at the prevailing spot market (hourly) power prices.
- C. All SEP agency electric accounts are enrolled in a separate dedicated (PJM) sub account established by the LSP. Only SEP agency electric accounts reside in the sub account.
- D. All PJM costs of the portfolio are captured in the sub account and along with other supply related costs are billed to the SEP members as a cost-plus arrangement.
- E. PJM costs include the PJM real time and day ahead hourly energy rates, physically delivered fixed rate block purchases, unforced capacity obligation (UCAP), transmission (network integrated transmission services (NITs) and Transmission Enhancement Charges (TECs) if applicable), and ancillary costs and credits.
- F. Non-PJM supply portfolio costs include Pennsylvania Alternative Energy Portfolio Standard (AEPS) costs, LSP service fees, LDC charges to suppliers and other renewable energy related costs as contracted and incurred.
- G. The LSP bills each SEP member monthly based on the local delivery company (LDC) metered usage and the consortium approved unitary billing rates (¢/kWh).

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V. Roles, Responsibilities and Procedures

- A. The portfolio is managed through a triad structure consisting of the **Energy Consultant** (PEA), the **Electricity Supplier** (LSP) and the SEP Energy Board.
- B. The SEP Quarterly **Energy Board meetings** are open to anyone in the member Agencies that have a stakeholder interest in the procurement of energy including purchasing, finance, sustainability, and energy management departments.
- C. Each member Agency shall have the responsibility to delegate authority to two **Energy Representatives**, selected from the procurement, finance, energy/facilities management, and or sustainability areas for a period of not less than one year, to oversee the management of the portfolio and strategy implementation.
 1. The responsibilities of the SEP **Energy Board** include:
 - Select a Chairperson from among the SEP Energy Board members for a period of not less than one year.
 - Approve the ECMPP for the SEP Electric Supply Portfolio.
 - Approve the Portfolio Operating Procedures for the SEP Electric Supply Portfolio.
 - Meet as needed to ensure compliance with the ECMPP, and make any changes, additions or deletions to the plan, the operating procedures or the membership as deemed in the best interest of the Agencies.
 - Select an authorized Transactor and backup Transactor from among the SEP Energy Board members for a period of not less than one year.
 - Hold quarterly public meetings to obtain energy market updates, review portfolio results, review hedge strategies and conduct voting on the matters identified in section II H of this document.
 - Select the agency to conduct public solicitations of vendor contracts and approve vendor selections (including the PEA and LSP).
 2. The responsibilities of the SEP **Energy Representatives** (two from each Agency) specifically include:
 - Oversee the execution of separate contract documents for each Agency, including the release of purchase orders, and the payment of invoices.
 - Attend SEP quarterly Board meetings
 - Make recommendations to the SEP Energy Board on which cooperative energy procurement opportunities to pursue.
 - Vote on matters that require SEP Energy Board voting
 - Ensure that their respective agency submit proper accounts for enrollment.
 3. The responsibilities falling under the **Chairperson** include coordinating meeting dates, chairing the convened meetings, creating, and distributing agendas and meeting documents, coordinating the distribution of meeting materials, sending reminders to member Agencies regarding deadlines, and other duties as needed. These duties will be supported by the DVRPC staff.

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4. The responsibilities of the **Transactor**, in addition to those described under Section D. “Transaction Authorization”, include:
 - Receive notification from the PEA that a fixed rate block purchase transaction decision is to be made.
 - The Transactor may query other Representatives, although block transactions will be in accordance with the approved ECMPP. Only objections to the pending decision will need to be communicated to the Transactor in writing prior to a designated time for the execution of the transaction.
 - Via email, the SEP authorized Transactor will authorize execution of the requested block purchase(s);
 - Sign on behalf of SEP all price confirmations for power purchases made on the PJM market and any other required energy contract activity.
5. The responsibilities of the **Portfolio Energy Advisor (PEA)** include:
 - Develop the ECMPP and POP;
 - Support SEP in the selection and contracting of the LSP;
 - Direct the procurement activities of the LSP within approved portfolio limits;
 - Submit authorized account enrollments/de-enrollments to the LSP;
 - Direct the execution of authorized transactions between SEP and the LSP;
 - Provide Day Ahead Scheduling guidance to the LSP;
 - Execute annual transmission path selections via PJM’s Auction Revenue Rights process.
 - Advise and coordinate Pennsylvania alternative energy portfolio standard (AEPS) purchases (State regulatory required renewable purchases)
 - Ensure and report on compliance with the ECMPP;
 - Validate, monitor, and report on the portfolio costs, hedge positions, portfolio current and next year forecasts, billing rates and working capital balances;
 - Develop annual portfolio budget estimates, SEP member billing rates, repricing periods, and working capital balance projections.
 - Provide ongoing energy market intelligence to the SEP consortium
 - Timely responds to member agency questions
6. The responsibilities of the **Licensed Service Provider (LSP)** include:
 - Establish separate dedicated PJM sub account for the SEP member accounts and ensure objective cost segregation from other LSP customers;
 - Enroll and unenroll authorized SEP member accounts in the dedicated PJM sub account per PEA instructions;
 - Obtain fixed price block quotes upon request by the PEA;
 - Execute authorized fixed rate block purchases;
 - Implement day ahead scheduling;
 - Administer portfolio billing rates;
 - Provide summary monthly billing to SEP members;

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- Respond promptly to SEP members billing inquiries;
- Provide monthly portfolio information to the PEA including portfolio costs, RPS purchase prices and working capital position.

D. Transaction Authorization

Neither the PEA nor the LSP may execute any transactions in the SEP portfolio without duly authorized instructions from the SEP Energy Board or their designee (“Authorized Transactor”). Following is a summary of transaction authorities granted by the SEP Energy Board:

1. **SEP Energy Board Primary and Secondary Transactor**– All transactions, except enrollment / unenrollment, which must be confirmed by PEA.
2. **PEA** – Request fixed price energy block pricing from LSP or other potential counterparties that can affect delivery via the LSP, submit SEP authorized fixed energy block purchase requests to LSP for LSP execution, submit Day-Ahead guidance/schedules/bids, submit accounts provided by the SEP members for enroll / unenroll to the LSP, submit SEP approved billing rate changes to the LSP, make annual transmission path selections on behalf of the SEP portfolio thru PJM’s eFTR.
3. **LSP** – Execute fixed price energy block purchase per PEA instructions which include documented SEP authorization for all block purchases, implement day ahead scheduling/guidance provided by the PEA, enroll or unenroll accounts per PEA instructions, change SEP Board approved billing rates per PEA instructions, make any administrative elections with local distribution company or PJM necessary to facilitate effective electric delivery to participating SEP member accounts. Make available to the PEA each year eFTR.

E. Transaction Execution

1. Fixed Rate Block Purchases

- The SEP Energy Steering Board will designate a primary and backup individual who are authorized to approve fixed rate block purchases on behalf of the portfolio (herein referred to as “SEP authorized transactor”);
- The PEA will initiate block purchase discussions with the SEP Energy Steering Board and the authorized Transactor in accordance with the approved ECMPP;
- The PEA will initiate an email request to the LSP’s designated trading desk contact for fixed rate block quotes. The email will include a standard quote form. Although not required, the PEA will make best efforts to give the LSP trading desk 24 hours’ notice;
- The LSP will provide a minimum of three (3) counterparty quotes (with no LSP markup) for the requested block product/term(s) to the PEA;
- Via email to the PEA, the SEP authorized transactor will authorize execution of the requested block purchase(s) and the PEA will forward that authorization to the LSP;
- The LSP will submit to the authorized SEP transactor and the PEA, the block purchase confirmation;
- The authorized SEP transactor will execute the confirmation and scan/email copies to the LSP and PEA.

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2. Account Enrollment and Unenrollment Procedures

- Each SEP member will designate two individuals who are authorized to enroll and de-enroll accounts with the LSP on behalf of their respective organizations;
- Each SEP member will provide the authorized names and changes to the authorized names to both the PEA and LSP;
- The PEA will provide the PEA and LSP contact names and contact information to the SEP member agencies for account enrollments, unenrollments and authorization changes;
- Account enrollments and de-enrollments will be submitted to the LDC once a month by the LSP;
- Authorized SEP individuals should submit account enrollment requests to the PEA contact by the 25th day of each month to be included in the next month's account enrollment submission by the LSP to the LDC;
- The PEA will maintain a database of the SEP member electric accounts;
- The PEA will update the account database and submit the enrollment request for all valid accounts and appropriate billing rate to the LSP. The submission will be sent once a month to the LSP by the 30th of each month.

3. Day Ahead Scheduling

- The SEP Energy Board delegates Day Ahead Scheduling authority to the PEA;
- The PEA will provide either guidance to the LSP on Day Ahead Scheduling or provide to the LSP in electronic form the desired Day Ahead scheduled load on a weekly and or daily basis by 10:00 AM on the business day preceding the day to be scheduled;
- The LSP will implement day ahead purchases based on the Day Ahead Schedule provided by the PEA. If no schedule is provided a default schedule of **90%** of the forecasted Day-Ahead load will be used by the LSP.

4. Annual Transmission Path Selections

- The SEP Energy Board has delegated the Annual Transmission Path selection authority to the PEA.
- PEA will make annual transmission selections for the SEP load through PJM's annual ARR (Auction Revenue Rights) /FTR (Financial Transmission Rights) program.
- On an annual basis, LSP will provide PEA with read/write access to PJM's eFTR program for the SEP subaccount.

5. Excess Capacity Credits

- Execute sale of any excess capacity credits allocated to SEP's sub account on SEP's behalf.

F. Account Billing and Payment Responsibility

1. The PEA will develop the portfolio billing rates; however, the SEP Energy Board must approve them.
2. The PEA will submit the approved billing rates to the LSP billing contact.
3. The PEA will recommend the billing rate reset period, which must be approved by the SEP Energy Board.

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4. The LSP will submit in electronic form, the monthly SEP member billing to the designated SEP member utility bill processors.
5. The monthly billing will include the LDC account number, the utility reported metered usage, the approved billing rates, gross receipts tax and total supply charge. Copies of the billings will be provided to the designated PEA individuals.
6. SEP member Agencies are expected to pay all billed usage presented by LSP in a timely manner. Bill adjustments, as appropriate, will be handled as a debit/credit on future bills.

G. Portfolio Reports and Reporting

The PEA and LSP will provide the following reporting on portfolio status and performance:

1. LSP Reports

- *Monthly Portfolio Statement* – Summary statement of all costs charged to SEP portfolio, which includes, PJM billing, bilateral energy transactions, local delivery company charges (if any), local regulatory charges, LSP fees (service fee and working capital cost of carry, as appropriate), AEPS costs and Gross Receipts Taxes.
- *Monthly Working Capital Cost of Carry Charges Report* (if any)– Provide calculation details supporting monthly charges.
- *Monthly Billing / Receipts Report* – Summary statement of total billings and receipt to / from SEP members that shows cash receipts on a daily basis. Report will also include net cash balance outstanding.
- *Quarterly Aging Report* – Provide an A/R aging report by SEP member

2. PEA Reports

- *Quarterly Portfolio Report* provided to the SEP Energy Board – Report to include:
 - monthly performance vs. budget,
 - updated current year full year forecast
 - next fiscal year's forecasted cost forecasts
 - fixed rate blocks open purchase log
 - hedge summary and comparison to targets
 - planned hedge purchases and compliance with strategy
 - energy market price updates
 - portfolio billing rates and comparison of billing rates with SEP's working capital balance held with the LSP (working capital balance representing the difference between costs paid out by the LSP on the SEP portfolio's behalf (payments to PJM, block settlements, etc.) and cash received from SEP members via monthly supply billings.
 - Capacity prices, annual capacity and transmission tags (MW's)
 - Other information as needed
- *Annual Cost Estimates* – PEA will prepare annual cost estimates for the SEP portfolio as a whole and for each SEP member upon request.

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VI. Long Term Renewable Energy Purchase Commitments

The SEP Energy Board will work with the PEA to develop applicable renewable energy purchase goals, objectives, and strategy. Once a strategy has been developed, processes and procedures for sourcing renewable energy will be developed.

VII. Member Agency Exit from the Program

To exit the program a member Agency:

- A. Must provide minimum of six months written notice to the SEP Energy Board
- B. Will be responsible for any losses on liquidation of fixed rate commitments that were made by the program in anticipation of the agency remaining in the program
- C. Will receive their prorata contribution to the excess fund working capital balance via lower supply budget billing rates during the remaining months of their participation in the program.

The electric supply portfolio operating procedures herein are approved by the following and effective as of the date of this document. All parties must approve further changes.

Name of Agency:

Signature Authorized Representative: _____ Date: _____

Name: _____ Title: _____

Name of Agency:

Signature Authorized Representative: _____ Date: _____

Name: _____ Title: _____

Name of Agency:

Signature Authorized Representative: _____ Date: _____

Name: _____ Title: _____

Name of Agency:

Signature Authorized Representative: _____ Date: _____

Name: _____ Title: _____
